

HADERER v. GROSS et al

22CV46027

DEFENDANTS GROSS' DEMURRER AND MOTION TO EXPUNGE

This is a quiet title action based upon plaintiffs' ostensibly adverse possession of certain commercial property (which includes The Hotel Leger) within this County. Before the Court is a demurrer by defendants Barry Gross and Gross Mortgage Corporation to the operative pleading, as well as a defensive motion by Gross Mortgage Corporation to expunge lis pendens 2022-006783.

There is no opposition to either motion. Since the inception of this action, plaintiffs have been represented by Attorney Michael Abbott. Defense counsel mail-served the motion to expunge to Attorney Abbott's office on 06/21/22. Defense counsel personally dropped off (through a mail slot) the demurrer to Attorney Abbott's office on 06/29/22. On 07/15/22, defense counsel sent to Attorney Michael Abbott, via overnight mail, a notice of having not received any opposition to the pending motions.

The silence alone suggests tacit confirmation of defense arguments, but reference to the various emails attached to the defense papers and declarations bolsters this impression. Plaintiffs' counsel appears to be actually aware of the demurrer and motion to expunge, and plaintiffs appear aware that they have a questionable legal basis for concluding any ownership interest in the hotel based on defendant's willingness to let them live there and run the hotel until a permanent owner came along (which has since occurred) in exchange for paying the property taxes.

Demurrer – Sustained with 30 days leave to amend

The demurrer is sustained. Plaintiffs have not alleged any facts in Paragraph 12 permitting a finding that their use of the subject property was adverse, meaning that it was without the explicit or implicit permission of the landowner. (See *Husain v. California Pacific Bank* (2021) 61 Cal.App.5th 717, 725-726; *McBride v. Smith* (2018) 18 Cal.App.5th 1160, 1181; *Nielsen v. Gibson* (2009) 178 Cal.App.4th 318, 327; *Aaron v. Dunham* (2006) 137 Cal.App.4th 1244, 1249; *Felgenhauer v. Soni* (2004) 121 Cal.App.4th 445, 450.) Plaintiffs' averment regarding the payment of property taxes, while a necessary element of the claim, does not supplant the obligation to plead facts showing that such payment was without the true owner's actual consent – which appears to be the case here.

Although leave to amend is usually conditioned upon a request from the pleading party, and a showing of how the amendment might cure the defect, this Court is mindful of the fact that Attorney Abbott may be guilty of positive misconduct (abandonment), which would permit plaintiffs a chance to undo any judgment arising from silence in the face of a dispositive motion. (See, e.g., *Carroll v. Abbott Laboratories, Inc.* (1982) 32 Cal.3d 892, 900; *Seacall Development, Ltd. v. Santa Monica Rent Control Bd.* (1999) 73 Cal.App.4th 201, 207.) As such, plaintiffs shall be permitted 30 days leave to amend.

Motion to Expunge – Granted, Without Prejudice

A *lis pendens* is a recorded document giving constructive notice to the world that an action is pending in the courts which may have an impact on the litigants' right or title to the property. (See *Park 1000 Investment Group II v. Ryan* (2010) 180 Cal.App.4th 795, 807; *Formula Inc. v. Superior Court* (2008) 168 Cal.App.4th 1455, 1462; *Palmer v. Zaklama* (2003) 109 Cal.App.4th 1367, 1375-1376.) Pursuant to CCP §§ 405.22 and 405.23, a claimant filing a notice of *lis pendens* must follow three steps:

1. Prior to recordation, serve by registered or certified mail, return receipt requested, a copy of the notice on all known owners and those with adverse claims to the property;
2. Concurrent with recordation of the notice, record a proof of service consistent with CCP §1013a. if service cannot be effectuated, a declaration of due diligence is needed (§405.22); and
3. Immediately following recordation of the notice and proof of service, file a copy of both with the court in which the action is pending.

Pursuant to CCP §405.23, the notice of *lis pendens* "shall be void and invalid" as to any adverse party or owner of record unless the above requirements have been met. Plaintiffs' *lis pendens* is procedurally defective as it failed to comply with any of the above requirements. Expungement is warranted; however, when expungement is based on technical violations, the claimant is free to refile. (*McNight v. Superior Court* (1985) 170 Cal.App.3d 291, 303.)

As for the merits, anyone with an interest in real property may move a court for an order expunging a recorded *lis pendens* if (1) the court case upon which the *lis pendens* is based does not contain a real property claim, or (2) the party responsible for filing the *lis pendens* is unable to show by a preponderance of the evidence that he or she is more likely than not to prevail on the claim affecting right or title to the property. (CCP §§ 405.30-405.32; *Amalgamated Bank v. Superior Court* (2007) 149 Cal.App.4th 1003, 1007; *Shah v. McMahon* (2007) 148 Cal.App.4th 526, 529.) There is no dispute that this quiet title case contains a real property claim, and that plaintiffs are entitled to record a *lis pendens*. (See *Sagonowsky v. Kekoa* (2016) 6 Cal.App.5th 1142, 1148.) However, to sustain that recording, plaintiffs must demonstrate probable validity of the real property claim. Taking the verified complaint and comparing that to the evidence presented by defendants herein, this Court concludes that plaintiffs have not established probable validity of their quiet title claim because their claim to title is based solely on adverse possession, and the evidence provided by defendants make plain that plaintiffs did not occupy and operate the hotel "adverse" to defendants (see demurrer discussion, *supra*).

Plaintiffs have not requested an opportunity to post a counterbond, and as such no threshold amount for that is being set.

Defendants are entitled to an award of legal fees related to the motion to expunge. Based on the going hourly rate in this venue of \$300, and the vast amount of evidence presented in support of the motion, this Court finds that 7 hours is sufficient. Thus, plaintiffs shall reimburse defendant Gross Mortgage Corporation \$2,160 (allowed hourly plus filing fee).

The Clerk shall provide notice of this Ruling to the parties forthwith. Defendants to prepare formal Orders pursuant to Rule of Court 3.1312 in conformity with these rulings.